

ROBERT K. HANNA, State Bar No.: 341970
JUNQIAO XIAO, State Bar No.: 341670
HYO JIN JULIA JUNG, State Bar No.: 316090
MICHAEL D. KAHN, State Bar No.: 236898
LAMONT FREEMAN, State Bar No.: 349862
MIDLAND CREDIT MANAGEMENT, INC
350 CAMINO DE LA REINA, SUITE 100
SAN DIEGO, CA 92108
Telephone: (866) 300-8750
Facsimile: (858) 309-1588
CaliforniaLegal@mcmcg.com
California Debt Collection License #10644-99
Attorneys for Plaintiff

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SUPERIOR COURT OF CALIFORNIA
COUNTY OF LOS ANGELES
CHATSWORTH COURTHOUSE NORTH VALLEY DISTRICT

MIDLAND CREDIT MANAGEMENT, INC.

Plaintiff,

vs.

JESSICA PENA;
and DOES 1 through 10, inclusive

Defendant.

Case No. 24CHLC00783

PLAINTIFF'S TRIAL BRIEF

Complaint Filed: 1/9/2024

Date: 1/14/2025

Time: 8:30 AM

Dept: F41

Prayer Amount: \$2,961.16

LIMITED CIVIL CASE

INTRODUCTION

This is a collection action arising out of the Defendant JESSICA PENA's ("Defendant") non-payment of sums due on an account which the Defendant held with CITIBANK, N.A., Account No. XXXXXXXXXXXX-4834 (the "Account"). Defendant opened, used, and derived benefits from the Account through Defendant's use of the Account or by another's use at Defendant's direction. By using the Account, Defendant expressly agreed or impliedly promised to repay CITIBANK, N.A.; however, Defendant has failed to repay those sums and the Account is now in default.

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STATEMENT OF FACTS

Plaintiff MIDLAND CREDIT MANAGEMENT, INC. ("Plaintiff") owns portfolios of consumer receivables, which it attempts to collect through its servicer, MIDLAND CREDIT MANAGEMENT, INC. and their affiliates ("MCM"). On February 17, 2022, CITIBANK, N.A. assigned and transferred all rights and interest in the account to Plaintiff, who then assigned the Account the unique identifier of XXXXX-6244. Plaintiff now owns the Account and stands in the place of the original creditor and, thus, is entitled to collect on the Account as if it were the original creditor. At the time Plaintiff purchased the Account from CITIBANK, N.A., all of the books and records associated with the account were transferred to Plaintiff. To the extent that Plaintiff acts in its capacity as successor-in-interest to the original creditor or its assigns, references herein to Plaintiff may include Plaintiff's predecessor-in-interest.

Plaintiff informed Defendant of the assignment of the Account on 2/22/2022 and requested that Defendant resolve the outstanding obligation. On 12/01/2023 Plaintiff sent Defendant correspondence informing Defendant that the Account had been transferred to the internal legal collection department for possible initiation of legal proceedings but that no decision had been made to file suit. In this same communication, before commencement of this action, Plaintiff informed Defendant in writing that it intended to file this action and that this action could result in a judgment against Defendant that would include court costs allowed by Code of Civil Procedure § 1033, subdivision (b)(2).

Before initiating litigation, MCM attempted to work with JESSICA PENA in an effort to mutually resolve the account. Such efforts included offering discounts on the debt, discussing hardship plans, and reviewing various payment options. Plaintiff prefers to work with consumers to establish voluntary payment arrangements rather than pursuing litigation. Plaintiff's efforts are aimed at working with consumers to resolve their obligations and to attain financial recovery. However, a mutually agreeable resolution could not be reached and, the case is at issue and now comes before this Court.

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LEGAL ARGUMENT

Defendant is liable to Plaintiff on an account stated cause of action because Defendant became indebted on the Account as a result of credit card purchases that Defendant made using the Account. Plaintiff further alleges that the indebtedness was stated in writing. Through use of the Account, Defendant agreed to repay the balance due, but breached the agreement by failing to pay as agreed. Defendant agreed to the balance due when Plaintiff sent Defendant a statement of the Account in writing, to which Defendant failed to object within a reasonable time. Further, the evidence will show that Plaintiff now owns this Account and is entitled to collect on the account as if it were the original creditor.

I. PLAINTIFF IS ENTITLED TO COLLECT ON THE OUTSTANDING BALANCE

Prior to the commencement of this action, all right, title, and interest to the Account was sold, assigned, and/or transferred to Plaintiff. Plaintiff now owns Defendant's Account and stands in the place of the original creditor. As owner of the Account, it can testify to ownership of the Account and the fact that the debt remains unpaid by Defendant. Evidence supplied by the assignee, whether documentary or testimonial, is sufficient to establish assignment of the account. (*Marx v. McKinney* (1943) 23 Cal.2d 439; *Norton v. Consolidated Fisheries* (1953) 120 Cal. App. 2d 86, 90; also see 7 Cal.Jur.3d, Assignments § 77.)

The testimonial and documentary evidence submitted establishes the assignment of the Account from CITIBANK, N.A. to Plaintiff and proves that Plaintiff is the owner of Defendant's Account because all right, title, and interest in the Account transferred to Plaintiff. Therefore, Plaintiff now owns this account and stands in the place of the original credit—Plaintiff is entitled to collect on the account as if it were the original creditor.

II. DEFENDANT IS LIABLE TO PLAINTIFF ON AN ACCOUNT STATED

Defendant is liable to Plaintiff on an account stated in writing. An account stated is an agreement between a creditor and a debtor, based on prior transactions, that an amount is due and owing. "The essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; (3) a promise by the debtor, express or implied, to pay the amount due." (*Maggio, Inc. v. Neal* (1987) 196 Cal.App.3d 745; *Gleason v. Klammer* (1980) 103 Cal.App.3d 782, 786; *Zinn v. Fred R. Bright Co.* (1969) 271 Cal.App.2d 597, 600.)

A. Prior Transactions Between the Parties

The evidence shows that Defendant opened the account with CITIBANK, N.A., or its predecessor in interest, on March 01, 2017, then used and derived benefit from the Account. The evidence further shows that Defendant made a final payment on the Account on October 07, 2021 and the Account was charged off on January 11, 2022, prior to being assigned to Plaintiff on February 17, 2022. Additionally, the evidence shows that demand was made by Plaintiff for the amount due on the Account and that Defendant failed to object to the amount owed and failed to make further payments. Thus, the statements show the existence of the prior transactions between the parties, and thus, the parties have established a debtor-creditor relationship.

B. Defendant Implicitly Agreed to the Amount Due and Promised to Pay that Amount

Defendant implicitly agreed to the amount due and promised to pay that amount when Defendant failed to object to the amount due within a reasonable time after receiving the final billing statement on the Account. It is well established law that “[t]he agreement necessary to establish an account stated need not be express and is frequently implied from the circumstances.” (*Zinn v. Fred R. Bright Co*, *supra*, 271 Cal.App.2d at p. 600.) When a statement is rendered to a debtor and no reply is made within a reasonable time, “the law implies his agreement that the account is correct as rendered.” (*Zinn v. Fred R. Bright Co*, *supra*, 271 Cal.App.2d at p. 600; *Maggio, Inc. v. Neal* (1987) 196 Cal.App.3d 745; *California Bean Growers’ Assn. v. Williams* (1927) 82 Cal.App. 434, 442, 255 P. 751.)

Some courts have held that a space of 25 days after the rendition of the account without objection to the balance due is reasonable time to establish the account as an account stated. (*California Bean Growers’ Ass’n. v. Williams*, *supra*, 82 Cal.App. at p. 443 citing [*Atkinson v. Golden Gate Tile Co.*, 21 Cal. App. 170].) Additionally, under 15 U.S.C. § 1666, subdivision (a), and California Civil Code § 1747.02, subdivision (g), a debtor has 60 days from the receipt of a billing a statement to object to any portion of that billing statement. Thus, there is a strong presumption that a reasonable time period for the consumer to object is 60 days and the failure to object represents assent that the final billing statement accurately represents that there is an amount due.

In the instant case, Defendant implicitly agreed to the amount due and promised to pay that amount when Defendant failed to object to the amount due within a reasonable after receiving the final billing statement on the account. As the evidence shows, MCM and CITIBANK, N.A. made demands for payment of the balance due and Defendant failed to pay the amount due. The evidence also shows that there is no record of a substantiated dispute as to the amount due on the account. Therefore, Defendant implicitly agreed to the amount due and promised to pay that amount.

1 Based on the forgoing, the evidence clearly shows the existence of previous transactions between
2 the parties, an agreement on the amount due, and a promise by the debtor to pay the amount due.
3 Therefore, Defendant is liable to Plaintiff on an account stated in the amount of \$2,961.16.

4 **CONCLUSION**

5 This is a simple collections case arising out of the non-payment by Defendant on their
6 CITIBANK, N.A. account. The Plaintiff acquired all of the rights under that account, including the right
7 to collect the outstanding balance. Plaintiff respectfully requests judgment in the amount of \$2,961.16
8 and court costs in the amount of \$261.80 for a total judgment of \$3,222.96

9 Dated: December 11, 2024

MIDLAND CREDIT MANAGEMENT, INC.

11 By: 

- 12 ☐ ROBERT K. HANNA
13 ☐ JUNQIAO XIAO
14 ☐ HYU JIN JULIA JUNG
15 ☐ MICHAEL D. KAHN
16 ☒ LAMONT FREEMAN